

which the shares could easily have been bought by anyone making a realistic study of the situation.

At buying point A the stock had slipped in just a few months by about 24 per cent from its former peak. Within about a year those who bought here would have had a gain in market value of between 55 per cent and 60 per cent. Then came the strike that produced buying point B. The stock dropped back almost 20 per cent. Strangely enough, it remained there for some weeks after the strike ended. At this time, a brilliant employee of a large investment trust explained to me that he knew how good the situation was and what was almost sure to happen. Nevertheless he would not recommend the purchase to his financial committee. He said certain of the members were sure to check with Wall Street friends and not only turn down his recommendation, but rebuke him for bringing to their attention a company with a sloppy management and hopeless labor relations!

As I write this not so many months later, the stock has already risen 50 per cent from buying point B. This means that it is now up over 90 per cent from buying point A. More important, the company's future looks brilliant, with every prospect that it will enjoy abnormal growth for years to come just as it did for some years before the combination of unusual and temporary unfortunate occurrences produced buying points A and B. Those who bought at either time got into the right sort of company at the right sort of time.

In short, the company into which the investor should be buying is the company which is doing things under the guidance of exceptionally able management. A few of these things are bound to fail. Others will from time to time produce unexpected troubles before they succeed. The investor should be thoroughly sure in his own mind that these troubles are temporary rather than permanent. Then if these troubles have produced a significant decline in the price of the affected stock and give promise of being solved in a matter of months rather than years, he will probably be on pretty safe ground in considering that this is a time when the stock may be bought.

All buying points do not arise out of corporate troubles. In industries such as chemical production, where large amounts of capital are required for each dollar of sales, another type of opportunity sometimes occurs. The mathematics of such situations are usually about like this: A new plant or